

Stock-Option Warrants

DURING THE LAST TWO DECADES the use of stock-option warrants has passed through an extraordinary development. They were devised originally as a form of participating privilege for bonds and preferred stocks to which they were attached. In this form they were commonly regarded only as a feature of the senior security, similar to a conversion right, and the warrants themselves had little significance in relation to the company's capitalization structure. Later the idea was hit upon of creating stock-option warrants separately from other securities and delivering them as compensation to underwriters, promoters and executives. From this point the inevitable next development was the issuance, through sale or exchange, of separate option warrants to the general public in the same manner as common stocks. They thus attained full stature as an independent form of "security," as an important part of the financial set-up of many corporations and as a popular and prominent medium of speculative activity.

In a previous chapter we considered the technical aspects of option warrants as an adjunct of senior securities. In this chapter we shall discuss the more important role of option warrants as a separate financial instrument. Our treatment falls into three sections: (1) description, (2) technical characteristics of warrants as a vehicle of speculation, (3) their significance as a part of the financial structure.

DESCRIPTIVE SUMMARY

A (detachable) option warrant is a transferable right to buy stock, originally running for a considerable period of time. (Warrants attached to a debenture bond issue are sometimes called "Debenture Rights." A third name for the same thing is "Stock-purchase Warrant.") Its terms include: (1) the kind of stock, (2) the amount, (3) the price, (4) the method of payment, (5) the duration of the privilege, and (6) antidilution provisions. (The last were described in Chap. 25.)